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MEGATHERM'S ERP DILEMMA: VISION OR VIABILITY?

Sandip Pradhan and Manojit Chattopadhyay wrote this case solely to provide material for class discussion. The authors do not intend to illustrate either effective or ineffective handling of a managerial situation. The authors may have disguised certain names and other identifying information to protect confidentiality.

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In January 2025, Shesadri Bhusan Chanda, managing director and chief executive officer (MD & CEO) of Megatherm Induction Limited (MIL),[1] sat in his office in Kolkata, India reflecting on the company's recent milestones. A year earlier, MIL had made a remarkable debut on India's National Stock Exchange[2] for Small and Medium Enterprises (NSE SME), a platform on India's regulated exchange for small and medium-sized enterprises, listing at an 83.33 per cent premium over its issue price.[3] MIL's successful initial public offering (IPO) allowed the privately-held company to become publicly traded by offering shares to investors for the first time. The IPO infused capital into the company and elevated shareholder expectations for enhanced operational efficiency and strategic growth.

MIL was a mid-sized manufacturer that specialized in induction heating and melting equipment.[4]As the company continued to expand its global footprint, its legacy systems began to show limitations, hindering real-time data access and streamlined operations. Recognizing the pressing need for modernization, the internal team conducted a comprehensive evaluation of enterprise resource planning (ERP) solutions, engaging with multiple vendors and assessing proposals. With the internal review complete and expectations from shareholders and board members rising steadily, Chanda faced the critical decision of selecting an ERP system that would not only address current operational challenges but also align with MIL's long-term strategic objectives and meet the heightened expectations of its shareholders.

Three ERP vendors were shortlisted. Each vendor offered a unique balance of features, cost, and scalability. In addition, two strategic alternative options were being considered—defer the full ERP rollout or adopt a hybrid best-of-breed path. Chanda had to make a decision. MIL could pursue a visionary and feature-rich solution for long-term transformation or opt for a viable lower-risk system aligned with immediate operational readiness. Or Chanda could recommend a strategic option to stagger risk and investment. The decision was pending.

MEGATHERM INDUCTION LIMITED: COMPANY BACKGROUND

Founded in the 1990s, MIL became one of India's leading induction heating and melting solution providers. The company specialized in offering energy-efficient and environmentally conscious technologies to industries such as metal foundries, steel manufacturing, and heavy engineering.[5] MIL's core product portfolio included induction furnaces, solid-state power supplies, and auxiliary systems that were designed

to meet stringent industrial standards for sustainability, operational reliability, and performance. MIL's technological innovations were focused on optimizing thermal efficiency while reducing energy consumption, positioning the company to respond to the increasing industry emphasis on sustainable production practices. Alongside its product offerings, MIL provided technical consulting, installation, and equipment maintenance services, allowing the company to deliver end-to-end solutions that were tailored to the specific operational needs of its clients.

Over the years, MIL expanded both its domestic and international presence. Its reputation for sustainable innovation and customer-centric service helped differentiate it in a competitive landscape dominated by major companies such as Inductotherm (India) Private Limited and Electrotherm (India) Limited. MIL emphasized technological leadership and strong client relationships to maintain its position in markets where cost pressures were high. The company's entry into new geographic markets marked a turning point for the company. MIL had to adapt its technologies and services to varied regional and regulatory requirements. Its ongoing investments in research and development (R&D), combined with a focus on operational excellence, allowed the company to remain competitive in a rapidly evolving industrial sector.

Financially, MIL demonstrated steady growth, reflecting its ability to adapt to market challenges and sustain innovation (see Exhibit 1). In February 2024, the company completed its IPO on the NSE SME platform, listing at an 83.33 per cent premium over its issue price. The IPO provided MIL with additional capital to support its strategic initiatives, including upgrading operational systems and expanding its technological capabilities. After the launch of the IPO, shareholder expectations increased significantly, with a heightened focus on operational transparency, scalability, and future growth readiness. MIL's core technologies remained competitive, but its legacy systems were no longer adequate for supporting enterprise-scale operations. Recognizing the strategic importance of modernizing its systems, MIL initiated a structured evaluation of ERP solutions to support its future business requirements and maintain its competitive advantage.

By early 2024, MIL operated through a clearly defined organizational structure comprising core business functions such as R&D, manufacturing, sales and marketing, international business, and technical services. In 2025, MIL employed over 550 professionals across its domestic and international operations. The company's R&D division consisted of approximately 55 engineers, including 17 Ph.D. holders who were engaged in product enhancement and innovation initiatives in collaboration with global partners and academic institutions. These teams explored applications of artificial intelligence (AI), real-time monitoring, and smart control systems in industrial equipment, which reflected MIL's commitment to digitalization and operational intelligence. The company's manufacturing facility based in Kharagpur, India functioned nearly at full capacity to serve clients in over 50 countries. In preparation for its IPO, MIL undertook a series of governance reforms, transitioning from a promoter-led model to a more structured and compliance-driven enterprise. The various reforms included internal restructuring, improved audit mechanisms, and an independent board of directors. The goal was to align the company with capital market standards and demonstrate readiness for large-scale system transformation, such as ERP deployment.

Amid India's growing push for digital transformation, under the government's "Digital India" initiative,[6] SMEs such as MIL increasingly turned to ERP systems to improve operational efficiency and meet rising regulatory standards. ERP adoption in large firms had by this time matured. SME deployments were also accelerating, driven by demands for audit readiness, scalable growth, and integration with e-invoicing and goods and service tax frameworks. However, Indian industrial firms, especially in manufacturing, were facing a critical decision between traditional on-premises ERP systems that offered control, versus more current cloud-based solutions that promised scalability, cost-effectiveness, and faster deployment. For many enterprises, the ERP choice had become a strategic pivot point for future readiness.

AREA OF INTEREST: ERP MODERNIZATION AND STRATEGIC SYSTEM SELECTION

Recognizing the Gaps in Legacy Systems

The limitations of MIL's legacy systems were evident. However, the internal assessment further revealed various specific functional gaps that hindered operational performance. For example, reporting processes remained manual and delayed, preventing timely decision-making. Procurement and inventory systems lacked integration, which reduced supply chain responsiveness. Finance workflows struggled with audit compliance due to inconsistent data and limited traceability. Customer service functions operated without centralized tracking or escalation, which weakened service reliability. All of these deficiencies highlighted the critical need for a modern ERP system that was capable of unifying workflows, improving data accuracy, and enabling cross-functional coordination to support MIL's growth and governance priorities.[7]

Positioning ERP as a Strategic Business Solution

In response to these challenges, MIL initiated an enterprise-wide effort to identify and implement a modern ERP solution. The new system would consist of a suite of integrated software applications designed to standardize and automate core business functions across departments, enabling data consistency, process efficiency, and cross-functional coordination. The proposed system was expected to unify processes from the vendor to the customer to integrate activities such as procurement, production, finance, sales, and service functions into a single platform. By creating a centralized, accurate, and real-time view of data, the ERP system had the potential to establish a single source of truth across the enterprise, thereby laying the foundation for scalable decision-making and future digital capabilities. The objective was to streamline operations and improve organizational agility in alignment with future readiness goals.[8]

Executing the Evaluation Process

The ERP evaluation process began by forming an internal project team that comprised representatives from various departments, led by the company's chief information officer (CIO). The team was tasked with defining system requirements, engaging stakeholders across the organization, and developing a formal request for proposal (RFP).[9] The RFP aimed to align ERP capabilities with the company's operational needs and future scalability. It covered a range of requirements from core modules and analytics to deployment models and cybersecurity standards (see Exhibit 2 for a summary of the RFP evaluation areas).

Several vendors were contacted and their responses were assessed using a structured list of criteria items that included compatibility with MIL's core business processes, modular scalability, ease of integration with existing systems, total cost of ownership, implementation timelines, and post-deployment support models. To shortlist vendors for demonstrations, the team applied qualitative and quantitative evaluation frameworks including functionality scoring matrices and weighted assessments.[10]

The Decision Challenge Emerges

As part of the vendor selection process, MIL conducted detailed product demonstrations, evaluated customer references, and collected feedback from internal users. The selection committee aimed to ensure that the proposed ERP system would be both flexible enough to scale with the company's future growth and sufficiently robust to address immediate inefficiencies.[11]

Despite the detailed assessment process, questions remained regarding which vendor would provide the optimal balance between functionality, scalability, cost, and ease of implementation. Some systems provided many key features, whereas others offered a more pragmatic path aligned with MIL's current operational readiness. The trade-offs were complex, and the final decision would have lasting implications on the company's ability to support strategic initiatives and meet post-IPO expectations for transparency and performance.

UNDERSTANDING THE ISSUES IN ERP SELECTION AND PURCHASE

ERP as a Strategic Commitment, Not a Transactional Choice

Selecting the right ERP system involved more than just evaluating software features; it required aligning technology capabilities with the company's critical business processes and long-term strategy. MIL's leadership team was aware that many ERP projects often failed—not due to technology limitations, but due to misalignment between system functionality, organizational needs, and implementation readiness. The ERP selection process had to account for system complexity, integration challenges, organizational change requirements, and vendor reliability. Given the scale of investment and operational transformation involved, the choice of ERP system was considered a strategic commitment—not a transactional purchase.[12]

A Structured Framework with Organizational Alignment: Define, Evaluate, Select

MIL followed a structured framework of three core phases to navigate the ERP selection process: define, evaluate, and select.[13]

In the *define* phase, key stakeholders across departments documented existing processes and business requirements, which were compiled into a detailed RFP.[14] The RFP outlined functional expectations, module-specific needs, and cost considerations.[15]

During the *evaluate* phase, the RFP was shared with shortlisted vendors, and their responses were assessed using weighted scoring models such as the M-D-N prioritization method, which categorized requirements into "must-have," "desired," and "nice-to-have" options.[16] The evaluation team also applied principles consistent with the balanced scorecard framework[17] to ensure alignment with the company's broader strategic objectives. Beyond functional capabilities and cost efficiency, each ERP proposal was reviewed for its potential to support improvements across four key performance dimensions: internal process optimization, customer engagement, employee development, and financial control. This perspective helped ensure that the selected ERP solution would address operational inefficiencies and contribute to long-term value creation across MIL's enterprise functions. Finally, MIL briefly assessed long-term trade-offs using value analysis principles.

In the *select* phase of the process, the team recognized that the right ERP system might not be the least expensive option or the one with the most features. The selected system would be the one that struck a sustainable balance between organizational readiness and strategic scalability. Broader organizational alignment and external adoption forces had to be carefully considered.[18]

Beyond this structured three-phase framework, MIL's evaluation team also considered broader industry lessons and intangible factors that often shaped the success or failure of ERP initiatives.

Lessons from Industry Practice: Avoiding ERP Misfit

MIL's evaluation team was also guided by industry best practices related to ERP system selection. Internal discussions considered critical success factors such as top management involvement, alignment with long-term strategic goals, vendor reliability, and the importance of involving end-users early in the evaluation process. The team was conscious of risks associated with ERP misfit, where a system could fail not due to technology gaps but due to a lack of alignment with business requirements. By combining structured frameworks with these broader organizational considerations, MIL aimed to minimize implementation risk and maximize long-term value from the chosen ERP platform.[19]

In addition to business process alignment and functional capabilities, MIL's team evaluated each ERP offering in terms of data security, deployment flexibility, and regulatory compliance. As a newly listed company, MIL had heightened responsibilities regarding data governance and operational transparency. Cybersecurity considerations included encryption standards, audit logging, role-based access control, and the ability to meet local and international data protection norms.[20] Deployment models also played a role in the evaluation. Some vendors offered public or hybrid cloud solutions; others provided on-premises or private cloud options with varying levels of customization and control. These technical dimensions influenced how well each vendor could address MIL's long-term requirements for system resilience, access control, and scalable infrastructure.

Considering Intangibles: A Value Analysis Perspective

The evaluation team understood that the selected ERP system would affect current workflows and determine MIL's digital maturity for years to come.[21] As such, functionality, integration ability, implementation support, and vendor reputation were prioritized over initial cost. The decision was a critical point in the company's operational transformation.

In addition to quantitative scoring models, MIL's evaluation team considered qualitative factors that were not easily captured through numeric ratings. These included the scalability of the system, vendor flexibility, user interface simplicity, ease of adoption, and the long-term adaptability of the platform to evolving business requirements. The value of these attributes could not be precisely determined, but they were treated as critical differentiators in ensuring sustainable ERP value over time. The team recognized that a solution with a slightly lower technical score or higher upfront cost might still deliver greater long-term strategic alignment if it offered superior usability, vendor responsiveness, or adaptability. These considerations reflected a broader value analysis perspective, where the total benefit of the ERP system extended beyond functionality and cost to include organizational readiness, innovation capacity, and operational resilience.

CASE DECISION

Finalizing a Structured Evaluation

By February 2025, MIL's internal evaluation team had concluded a comprehensive, multi-phase assessment of leading ERP vendors. Following structured RFP evaluation and stakeholder workshops, MIL entered the final round of scoring and demonstrations. Vendors responded with detailed proposals, which were then subjected to a systematic evaluation that included weighted scoring, matrix-based comparisons, and multiple rounds of clarifications. Structured product demonstrations were conducted to validate core functionalities. Feedback was also collected from functional representatives who interacted directly with the systems during evaluation trials.[22]

Each vendor was assessed using predefined criteria, including alignment with MIL's business processes, the modular flexibility of the solution, ease of integration with existing systems, total cost of ownership, implementation timelines, and post-deployment support.[23] Attention was also given to vendor experience in similar industrial contexts and their ability to offer localized support through implementation partners. Several vendors showed clear advantages in specific areas such as interface usability, reporting capabilities, or implementation experience. However, none of the vendors demonstrated consistent superiority across all evaluation dimensions. This left the team without a clear frontrunner, which reinforced the complexity and strategic importance of the final decision.

Navigating the Trade-Offs

The shortlisting exercise revealed critical trade-offs that extended beyond surface-level comparisons. Some vendors offered robust products with a wide range of features that were closely aligned with MIL's long-term process automation goals. However, these options came with higher licensing fees, longer deployment schedules, and greater customization needs, which introduced the potential for implementation risks. In contrast, other vendors provided leaner modular platforms that were quicker to deploy and more cost-effective. However, their reliance on third-party extensions raised concerns about data consistency, integration overhead costs, and future system upgrades. Additionally, MIL's team considered factors such as vendor responsiveness during clarification rounds, the availability of localized implementation partners, and the relevance of success stories from similarly scaled industrial clients.[24] Each vendor's products had some trade-offs that MIL would need to navigate strategically.

The Weight of a Strategic Choice

For MIL's leadership team, the ERP selection decision carried long-term strategic implications. The chosen system would serve as both a technology upgrade and the foundational infrastructure upon which future operational capabilities would be built. After the ERP platform was implemented, it would influence how data moved across departments, how performance was monitored, and how decisions were made at every level of the organization. Therefore, a misaligned system could result in fragmented workflows, reduced stakeholder confidence, and costly remediation efforts. Conversely, the proper selection could enable process consistency, scalable integration across business units, and readiness for future digital initiatives. With limited room for error, the decision demanded a careful balance between immediate organizational readiness and long-term strategic fit.

Balancing Feasibility with Long-Term Vision

Chanda had received the final evaluation summary from the CIO. The internal team had completed its assessment and departments across the organization were prepared to support the selected option. However, stakeholders at the board level were anticipating that the decision would reflect both strategic foresight and fiscal prudence, which created a complex issue for Chanda. One vendor offered a technically advanced platform capable of supporting long-term digital expansion, but it came with a steep cost structure, extended implementation timelines, and high organizational disruption. Another vendor presented a more immediately deployable ERP solution that was aligned with existing workflows and change readiness, but it lacked several advanced features that could prove critical as MIL evolved. The decision required weighing operational pragmatism against future-proofing the enterprise—without the assurance of a superior outcome. Internal departmental feedback further complicated the evaluation, as each function prioritized different aspects of ERP performance ranging from cost and usability to scalability and security (see Exhibit

3 for stakeholder-specific priorities). The choice would ultimately shape system performance and the company's trajectory for cross-functional agility and stakeholder confidence.

A critical decision was pending. The company could choose the vendor that demonstrated superior technical capabilities, despite a higher cost and longer implementation time. Or, it could opt for a more practical solution that was more closely aligned with MIL's current operational readiness, but offered fewer long-term features. The decision required balancing short-term execution feasibility with long-term strategic alignment. No clear and risk-free option was available.

FINALISTS

Following a comprehensive evaluation process, MIL's internal project team shortlisted three ERP vendors for demonstrations (see Exhibit 4 and Exhibit 5A) and identified two strategic options for the board of directors to consider (see Exhibit 5B). Each finalist had participated in multiple assessment rounds, including responses to the detailed RFP, structured product demonstrations, stakeholder workshops, and reference client validations. The evaluation was guided by a weighted scoring model that incorporated both quantitative ratings and qualitative insights. Key dimensions included functional coverage, implementation readiness, cybersecurity standards, total cost of ownership, deployment flexibility, and vendor support models. The weighted scoring helped clarify each vendor's relative strengths and weaknesses, but no single option emerged as a consistent leader across all evaluation categories (see Exhibit 4 for weighted evaluations and Exhibit 5A for total cost of ownership comparison).[25]

Option 1: Vendor A—Comprehensive Functionality and Long-Term Fit

Vendor A[26] offered a fully integrated ERP suite with deep functional coverage across finance, procurement, production, and customer service. The platform supported advanced features such as predictive analytics, mobile access, workflow automation, and embedded cybersecurity controls, including audit trails, role-based access, and encryption protocols. Deployment options included private cloud and on-premises configurations that offered MIL complete control over system governance. Vendor A had an established record with mid-sized industrial enterprises and received strong reference feedback from clients, especially regarding product reliability and post-implementation support. However, the solution came with the highest total cost of ownership, a projected implementation timeline exceeding nine months, and the need for significant internal change management, due to process reengineering and training requirements.

Option 2: Vendor B—Scalable, Cost-Efficient, and Implementation-Ready

Vendor B proposed a modular ERP system tailored to MIL's immediate needs, with a comparatively low upfront investment and rapid implementation cycle. The platform offered good compatibility with MIL's existing systems and minimal customization requirements, making it attractive from a deployment risk standpoint. Its hybrid cloud architecture allowed flexibility and internal users found the interface intuitive. However, the system lacked advanced capabilities such as deep manufacturing analytics and cross-plant visibility tools. Concerns were raised about the vendor's limited geographic footprint and the absence of a clearly defined long-term product road map, which could limit the system's ability to scale up and adapt to MIL's evolving needs.

Option 3: Vendor C—Balanced Value with Integration Complexity

Vendor C presented a middle-path solution by offering moderate cost, functional breadth, and adaptable architecture. Its core modules covered MIL's operational workflows, but the system relied on third-party integrations for specific capabilities in analytics and manufacturing execution. The vendor was responsive during the evaluation process and flexible in commercial negotiations. Its public cloud-based deployment option also supported scalability. References from clients cited reliable uptime and strong account management, although some concerns were flagged in terms of inconsistent training delivery and fragmented post-implementation support. Integrating external tools introduced additional complexity in terms of vendor coordination, data flow management, and long-term platform stability.

Option 4: Stabilizing and Integrating (Deferring the ERP Process)

In addition to the three vendor options, MIL also had the option of postponing a full ERP implementation for the near term and focusing on maximizing the value of its existing systems. This strategy would deploy an integration platform to connect finance, production, and service data. It would also introduce targeted application upgrades and add analytics dashboards for better visibility. It would directly address pain points such as duplicate data entry, reconciliation delays, and fragmented reporting without the cost and disruption of a full platform replacement. The approach would preserve capital, provide a 12–18-month window to strengthen process discipline and organizational readiness, and allow time for market and technology signals to mature. However, it would delay standardization across the organization with one unified data model, which could limit MIL's agility and governance for rapid expansion or international growth.

Option 5: Hybrid Model (Best-of-Breed Digital Core)

Instead of adopting one of the three vendor suites in full, MIL could pursue a hybrid architecture that combined a lean ERP core (potentially from a different, specialized vendor) with best-of-breed applications for manufacturing execution, advanced analytics, and customer engagement. This option could deliver a closer functional fit and allow staggered adoption, thereby reducing initial disruption while avoiding single-suite lock-in. The trade-offs included high integration complexity, tight data-governance requirements to prevent silo effects, and potential lifecycle costs if interfaces proliferated. Over time, the patchwork approach could be less scalable or auditable than a unified platform with fewer enterprise-governance benefits, requiring strong architecture stewardship.

Each of the five options presented MIL with a distinct trade-off across strategic fit, technical complexity, deployment speed, and long-term sustainability. Vendor A was best aligned with MIL's digital transformation road map but required higher investment and organizational readiness. Vendor B promised immediate value and ease of adoption, albeit with uncertain future scalability. Vendor C offered a pragmatic balance, although its reliance on third-party components introduced risks in performance continuity and vendor accountability. Beyond the three vendor proposals, MIL could choose option 4 or option 5 to deliberate risk and investment by deferring the full platform restructure or by assembling a hybrid digital core. The final choice would depend on which risks the leadership team was prepared to manage—and which future priorities were deemed non-negotiable.

An extensive analysis emphasized *current* implementation costs and functional scoring, although certain ERP systems could deliver substantial longer-term benefits such as enhanced analytics capabilities, greater scalability, deeper integration with future digital platforms, and stronger support for evolving business models. Potential future benefits could alter the relative attractiveness of some options that appeared less

cost-effective in the short term. These considerations required further evaluation by the management team as part of the strategic decision-making process.

CONCLUSION

With the evaluation process completed, the internal team deferred the final decision to the MD & CEO. Each vendor presented a distinct value proposition. The internal reports outlined quantitative scores and qualitative feedback. The final decision would influence MIL's operational effectiveness and ability to respond to shareholder expectations and strategic growth ambitions, after its recent public listing.

It was time for the leadership team to weigh short-term execution feasibility against long-term digital enablement by balancing implementation costs with projected strategic benefits. Some options were better aligned with MIL's immediate operational readiness; others offered greater potential for transformation, albeit with higher investment and organizational risk. Timing pressures were mounting, vendor proposals were nearing expiration, and the board expected a definitive recommendation in the upcoming executive review.[27] The ERP journey had progressed steadily since MIL's launch of its IPO, culminating in February 2025 with the MD & CEO receiving a final recommendation on which to base the decision point (see Exhibit 6 for timeline).

The decision rested with Chanda. Which ERP solution would balance MIL's current operational needs with its scalable and strategically aligned growth ambition?

EXHIBIT 1: MEGATHERM INDUCTION LIMITED FINANCIAL HIGHLIGHTS

Financial Year (April March)	2021 22	2022 23	2023 24
Average Exchange Rate (Indian Rupee to US Dollar)	73.9	78.5	82.5
Total Revenue (in US$ Million)	25.41	33.87	37.12
Research and Development Expenditure (in % of Revenue)	3%	5%	9%
EBITDA Margin (in %)	4.5	10.36	13.6
Profit after Tax Margin (in %)	0.87	5.3	6.8
Return on Capital Employed	0.12	0.33	0.23
Net Worth (in US$ Million)	4.95	6.45	14.58
Debt-to-Equity Ratio	1.1	0.85	0.3

Note: EBITDA = earnings before interest, taxes, depreciation, and amortization
Source: Created by the case authors based on company documents.

EXHIBIT 2: SUMMARY OF ERP REQUIREMENTS SHARED IN RFP

Category	Key Requirements
Core Functional Modules	Procure to Payment (Materials Management), Plant to Produce (Production Planning), Order to Cash (Sales and Distribution), Finance and Controlling, Customer Relationship Management, After-Sales Service, Supplier Relationship Management, Logistics and Supply Chain Management
Manufacturing and Operations	Shop-Floor Integration, Production Fracking, Batch Control, Bill of Materials Management, Industrial IoT, Industry 4.0 / 5.0
Advanced Features	Analytics and Dashboards, Workflow Automation, Mobile Accessibility, Role-Based Workspaces, AI, Gen AI
Cybersecurity and Compliance	Role-Based Access Control, Audit Logs, Encryption (at Rest and in Transit), Data Privacy readiness (e.g., General Data Protection Regulation, Digital Personal Data Protection)
Deployment Options	Flexibility to Deploy on Public Cloud, Private Cloud, Hybrid, or On-Premise Infrastructure
Integration Capabilities	Real-Time API Readiness, Interfacing with Legacy Systems, Third-Party Connectors, Offline and Online Capabilities
Implementation and Support	Implementation Partner Experience, Post-Go-Live Support, Training Modules, Service Level Agreement
Scalability and Extensibility	Modular Design, Global Compliance Readiness, Configurability without Heavy Customization
Total Cost of Ownership	Licence Cost, Implementation Fees, Annual Maintenance, Cloud Hosting Costs, Training and Change Management

Note: ERP = enterprise resource planning; RFP = request for proposal; IoT = Internet of Things; AI = artificial intelligence; Gen AI = generative artificial intelligence; API = application programming interface
Source: Created by the case authors based on company documents.

EXHIBIT 3: STAKEHOLDER PRIORITIES BY DEPARTMENT (% WEIGHTING BY CRITERIA)

Criteria	Finance	Operations	IT	Sales and Service	Top Management
Functional Coverage	25	30	20	25	20
Integration with Existing Systems	15	10	20	10	10
User Interface and Usability	10	10	5	20	5
Cybersecurity and Compliance	5	5	20	5	10
Implementation Timeline	10	10	5	10	15
Vendor Track Record and Support	15	20	15	20	20
Total Cost of Ownership	20	15	15	10	20
Total (in %)	**100**	**100**	**100**	**100**	**100**

Note: IT = information technology; as part of the evaluation process, the project team engaged key stakeholders across departments to understand their functional priorities; each department assigned weightings to primary selection criteria based on its strategic objectives and operational needs; variations in priority (e.g., emphasis on cost control by finance department, focus on process fit by operations department, concern for integration and cybersecurity by IT department) highlighted the internal divergence that shaped vendor assessments and influenced the final recommendation; these perspectives were considered during demonstrations, scoring, and discussions with senior leadership.
Source: Created by the case authors based on company documents.

EXHIBIT 4: WEIGHTED VENDOR EVALUATION SUMMARY

Evaluation Criteria	Weight (in %)	Vendor A	Vendor B	Vendor C
Functional Fit (Core Modules)	20	8.5	7.2	7.8
Integration Capabilities	10	8.0	7.5	7.2
User Experience and Interface	5	8.0	8.5	7.8
Deployment Flexibility (Cloud or on Premises)	10	9.0	8.2	8.0
Cybersecurity and Data Governance	10	9.2	7.4	7.8
Vendor Responsiveness and Reputation	10	9.0	7.8	8.0
Implementation Timeline	10	6.5	9.0	8.0
Post-Implementation Support	10	8.7	7.2	7.5
Cost and Total Cost of Ownership	15	6.0	9.0	8.2
Total (Weighted Score)	**100**	**8.1**	**7.8**	**7.8**

Note: The Megatherm Induction Limited (MIL) internal project team used a weighted scoring system to evaluate shortlisted vendors across functional, technical, and strategic dimensions; scores were normalized on a 10-point scale and weighted according to internal priorities; Vendor A achieved a slightly higher overall score, but the margins across all three options were narrow; each vendor demonstrated unique strengths and trade-offs, underscoring the complexity of the final decision; total score for each vendor was derived using weighted averages across all evaluation criteria; options 4 and 5 (deferral and hybrid best-of-breed) were assessed qualitatively and were therefore not included in the weighted scoring (in Exhibit 4); weights were assigned through a collaborative process involving the MIL evaluation panel, which included senior representatives from key departments (finance, operations, information technology, sales and service, strategic planning); weightings reflected a consensus on the relative importance of functional and strategic criteria, derived during pre-selection workshops that were aligned with MIL's organizational priorities.
Source: Created by the case authors based on company documents.

EXHIBIT 5A: TOTAL COST OF OWNERSHIP COMPARISON OVER FIVE YEARS (IN US$ MILLION)

Cost Category	Vendor A	Vendor B	Vendor C
Licence and Subscription Fees	$0.66	$0.39	$0.49
Implementation and Customization	$0.58	$0.31	$0.39
Cloud Hosting and Infrastructure	$0.22	$0.14	$0.18
Training and Change Management	$0.12	$0.07	$0.10
Annual Maintenance (Five Years)	$0.30	$0.18	$0.23
Post-Deployment Support	$0.14	$0.10	$0.11
Total TCO (Five-Year)	**$2.02**	**$1.19**	**$1.50**

Note: TCO = total cost of ownership; The Megatherm Induction Limited (MIL) internal project team prepared a five-year TCO estimate for the three shortlisted vendors; TCO calculations covered all direct costs associated with system acquisition and deployment, including software licensing or subscription, implementation and customization, infrastructure provisioning (cloud or on-premises), user training, change management, annual maintenance, and post-deployment support; cybersecurity, compliance, and governance-related expenditures were embedded within the broader categories of implementation and ongoing support; MIL's information technology and finance departments reviewed and adjusted each vendor's cost estimates to ensure comparability; all figures were converted from Indian rupee to US dollars at the current exchange rate (US$1 = ₹83) and rounded to the nearest $0.01 million; vendor names were withheld to maintain focus on evaluation logic rather than branding or vendor endorsement; five-year TCO for options 4 and 5 was not directly comparable to that of a full-suite enterprise resource planning system; costs depended on the selected platform, analytics stack, and targeted upgrades (option 4), or on the specific core and best-of-breed components selected (option 5); Vendor B's points-to-cost ratio seemed most favourable (7.8 ÷ 1.19), but such a direct calculation would oversimplify the decision and fail to account for factors such as long-term scalability, vendor innovation road map, integration capability, or TCO; decision-makers had to balance quantitative scoring with strategic fit and qualitative considerations.
Source: Created by the case authors based on company documents.

EXHIBIT 5B: STRATEGIC ALTERNATIVES (QUALITATIVE SUMMARY)

Option	Scope	Pros	Cons	Risk and Dependencies
Option 4: Stabilize and Integrate (ERP Deferral)	Includes a cloud platform for data integration, targeted application upgrades, and analytics dashboards	Reduces near-term disruption; preserves capital; addresses reporting and reconciliation gaps; allows time to strengthen processes before a full ERP rollout	Delays enterprise-wide standardization; risks entrenching legacy constraints; limits scalability and governance if the company pursues rapid expansion	Requires strong process discipline and architectural controls to avoid creating new silos
Option 5: Hybrid (Best-of-Breed Digital Core)	Combines a lean ERP core (potentially from a different, specialized vendor) with best-of-breed applications for manufacturing execution, analytics, and customer engagement, adopted in phases	Delivers closer functional fit; avoids single-suite vendor lock-in; enables phased change management	Creates higher integration complexity; demands tighter data governance; carries potential for lifecycle cost escalation if interfaces proliferate	Requires strong architecture stewardship and ongoing interface lifecycle management

Note: ERP = enterprise resource planning
Source: Created by the case authors based on company documents.

EXHIBIT 6: TIMELINE LEADING TO MEGATHERM INDUCTION LIMITED'S ERP DILEMMA

Date	Event
February 2024	Megatherm Induction Limited completed its IPO on the NSE SME platform, raising growth capital.
March–April 2024	The company initiated internal restructuring, enhanced governance practices, and formed an independent board.
May 2024	A strategic review identified ERP modernization as a post-IPO priority.
June–July 2024	An internal project team was formed under the CIO, and stakeholder consultations were initiated.
August 2024	A detailed RFP was finalized and shared with shortlisted vendors.
September–October 2024	The team conducted product demonstrations, scoring exercises, and reference checks.
November 2024	TCO analysis and stakeholder-based weight prioritization were completed.
December 2024	Final vendor scoring and risk-benefit assessments were presented to the leadership team.
January 2025	The board reviewed the shortlisted vendors, and the ERP decision was escalated to the MD & CEO.
February 2025	The MD & CEO received the final evaluation report and faced the pending decision of selecting the most appropriate ERP vendor.

Note: ERP = enterprise resource planning; IPO = initial public offering; NSE SME = National Stock Exchange for Small and Medium Enterprises; CIO = Chief information officer; TCO = total cost of ownership; MD & CEO = managing director and chief executive officer
Source: Created by case authors based on internal timelines and interviews.

ENDNOTES

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